

ECONOMICS

Paper 1 Multiple Choice

2281/12

October/November 2019

45 minutes

Additional Materials: Multiple Choice Answer Sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

READ THESE INSTRUCTIONS FIRST

Write in soft pencil.

Do not use staples, paper clips, glue or correction fluid.

Write your name, centre number and candidate number on the Answer Sheet in the spaces provided unless this has been done for you.

DO **NOT** WRITE IN ANY BARCODES.

There are **thirty** questions on this paper. Answer **all** questions. For each question there are four possible answers **A, B, C** and **D**.

Choose the **one** you consider correct and record your choice in **soft pencil** on the separate Answer Sheet.

Read the instructions on the Answer Sheet very carefully.

Each correct answer will score one mark. A mark will not be deducted for a wrong answer.

Any rough working should be done in this booklet.

Solved by :-

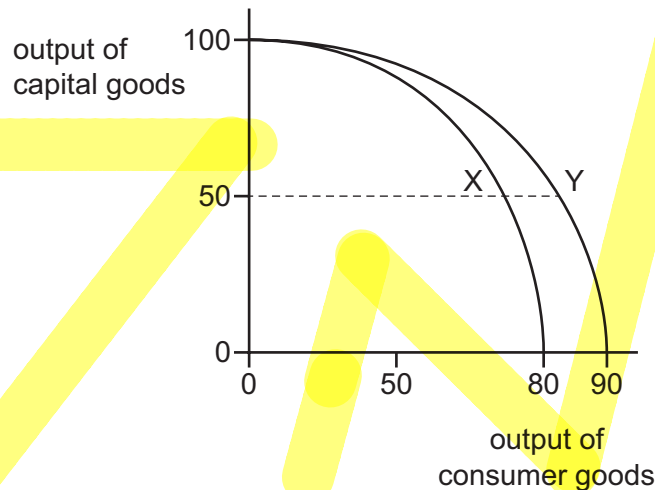
Zarak Mushtaq

This document consists of **10** printed pages and **2** blank pages.

1 Which statement about factors of production is correct?

- A Capital is the amount of money borrowed from a bank. *It's machines*
 B Labour is output made by an employee. *physical and mental effort*
 C Land includes commercially grown rice crops. *Natural resource*
 ✓ D Profit is the reward for enterprise. *Yes!*

2 The diagram shows two production possibility curves.



Which statement about the movement from point X to point Y is correct? *Output of consumer goods ↑*

- A Demand for consumer goods has risen. *Ans needs to be in output*
 B The opportunity cost for producing consumer goods has risen. *Remained same, 50*
 ✓ C There has been an increase in productivity in consumer goods production.
 D There has been an inward shift in the production possibility curve.

outward twa hai

Therefore it caused
 a shift / tilt / pivot
 to increase the ability
 to produce more of
 consumer goods

- 3 Sam wrote a list of how he would prefer to spend his Saturday afternoon.

first choice	go to a cricket match
second choice	watch the annual town parade
third choice	go to the cinema
fourth choice	visit relatives

Unfortunately a thunderstorm caused the cricket match and the town parade to be cancelled. Sam went to the cinema.

What was the opportunity cost of going to the cinema?

- A going to a cricket match
- B watching the annual town parade
- ✓ C visiting relatives
- D losing his Saturday free time
- 4 Which pair of economic institutions can be found in a market economy?

- A local government and charities *No*
- ✓ B monopolies and commercial banks *Commercial banks are privately owned*
- C nationalised industries and partnerships *No*
- D stock exchange and public corporations *No*
- large government organization*

- 5 What suggests that there is market failure?

- A high producer profits
- B high retail prices
- ✓ C lack of competition, *creates Monopoly, which results in abnormal profits*
- D low levels of investment *→ Nothing to do with market failure*
- It's always there*

- 6 What can cause the supply curve for a product to shift to the right? *↗*

- A an increase in demand for the product *D shifts*
- ✓ B an increase in government subsidies to producers *↗ (grant/cash payment)*
- C an increase in indirect taxes on the product *↘*
- D an increase in the costs of production *↘*

(Inelastic) $P \uparrow$ $QD \downarrow$

4

- 7 A railway company increases ticket prices by 10% for travel between 06:00 and 09:00, causing a reduction in demand by 2%. After 09:00 it reduces ticket prices by 5%, resulting in a 7% increase in demand.

$P \downarrow$ $QD \uparrow$ (Elastic)

What is the price elasticity of demand in response to these price changes?

	between 06:00 and 09:00	after 09:00
A	elastic	elastic ✓
B	elastic	inelastic
C	inelastic ✓	elastic ✓
D	inelastic ✓	inelastic

% Δ in QD is greater than % Δ in price.

% Δ in price is greater than % Δ in QD .

- 8 What is a disadvantage of being a specialist skilled worker?

A Career opportunities are abundant. *Restricted*

B Earnings are related to the level of skill. *Advantage*

C It may be difficult to find work locally.

→ Because of lack of mobility

D Labour supply is elastic and plentiful.

Mobility

- 9 What is not normally a function of the central bank of a country?

A acting as lender of last resort *yes*

B issuing notes and coins *yes*

C operating the government's monetary policy *yes*

D setting the government's budget *No*

→ set by government

10 The table shows how three people (X, Y and Z) spend their income.

	person X	person Y	person Z
food, clothing and housing	35%	50%	20%
entertainment and leisure	25%	20%	40%
luxury goods	40%	30%	40%

For these three people, what is the **most** likely order of income, from highest income to lowest income?

A X → Y → Z

B Y → Z → X

C Z → X → Y

D Z → Y → X

highest on
Basic necessities
so, lowest income
3rd.

1. luxury
2. Entertainment
and leisure
3. F, C and H

spends less than Y on
basic necessities, so 2nd
spends lowest on
F, C and H,
therefore
Richest (1st)

11 A musician has a choice of playing for an orchestra in either Germany or England.

Which combination of incomes and cost of living is **most** likely to cause her to choose the German orchestra?

	Incomes and cost of living in Germany compared with those in England		
	pre-tax (gross) income	after-tax (net) income	cost of living
A	higher	higher ✓	higher
B	higher	lower	lower ✓
C	lower ✓	higher ✓	higher
D	lower ✓	higher ✓	lower ✓

12 Which type of business organisation is necessarily in the public sector of the economy?

A multinational company

B public limited company

C public corporation

D sole trader

company, part of private sector

→ large government organization

↳ single / small firm

Before any taxes or deductions
are taken out.

Firms won't easily enter

13 Which combination of characteristics correctly describes a monopoly?

	barriers to entry	economies of scale
☒ A	high ✓	possible ✓
☐ B	high ✓	impossible
☐ C	low	possible ✓
☐ D	low	impossible

*large scale production
therefore achieves,
economies of scale.*

14 The table shows the sales of cold drinks made by a company in the UK in 2016 and 2017. Demand for cold drinks is influenced by changes in the temperature. In 2016 the sales followed the usual seasonal pattern.

month	sales 2016 (thousand cans)	sales 2017 (thousand cans)
April	300	290
May	400	350
June	550	270
July	570	490
August	620	590

In which month of 2017 was the usual pattern disturbed?

- ☐ A May
- ☒ B June
- ☐ C July
- ☐ D August

15 A firm producing bicycles has the following costs at different levels of output.

output	total fixed costs (\$)	total variable costs (\$)
10	300	800
20	300	1500
30	300	3300

TC	ATC
1100	110 ↓
1800	90
3600	120 ↑

What happens to the average total cost over this range of output?

A It falls continuously. *Not at 30 output*

B It falls then rises.

C It rises continuously. *NO*

D It rises then falls. *Reverse*

Takes greater proportion of their income.

Impact on poor

16 Why are indirect taxes, such as VAT of 20% on goods and services, described as regressive when comparing high-income and low-income purchasers?

A High-income purchasers pay a higher percentage of their income in tax.

B High-income purchasers pay a lower percentage of their income in tax.

C Low-income purchasers pay a lower percentage of their income in tax.

D Low-income purchasers and high-income purchasers pay the same percentage of their income in tax.

17 The government has an important role in mixed economies.

Which function would it not perform?

A distributing dividends from profits of state-owned enterprises

B employing workers to collect taxes *Yes*

C investing in transport infrastructure projects *Yes*

D producing goods in public corporations *Yes*

Because that's under private sector

large government organization
AD ↑ Karwama Hoi!

18 Which combination of policy measures would be effective in reducing the effects of a recession?

A a reduction in interest rates and a reduction in income tax

B a reduction in interest rates and an increase in income tax

C an increase in interest rates and a reduction in income tax

D an increase in interest rates and an increase in income tax

contractionary fiscal, AD ↓
contractionary monetary, AD ↓

Expansionary monetary and fiscal
↓, C ↑, I ↑
AD ↑
Tax ↓
D.Y ↑, C ↑, AD ↑

8

fiscal Supply side

19 How would government spending on education be classified?

	fiscal policy	monetary policy	supply-side policy
A	no	no ✓	yes ✓
B	no	yes	no
C ✓	yes ✓	no ✓	yes ✓
D	yes ✓	yes	no

Monetary covers,

- * Money supply
- * interest rate
- * Exchange rate

20 Which increase is most likely to cause a rise in the output of an economy?

- A hyperinflation
- B income taxes
- C interest rates
- D ✓ investment

loss of confidence, output ↓

] contractionary policies, output ↓

I ↑, AD ↑, output ↑

GDP per head
life expectancy (longevity)
literacy rate (schooling)

21 Why was the Human Development Index (HDI) introduced as a measure of the standard of living?

- A ✓ Education and healthcare are important contributors to the standard of living. Yes
- B GDP per head only measures development. No, Takes population into calculation
- C Inequality can only be measured by HDI. No, other indicators
- D Literacy rates are not an effective measure of the standard of living.

They are

22 During periods of high unemployment across the entire labour force, the highest unemployment rate in an economy is often in the 16–19 year-old age group.

Which statement explains why 16–19 year-olds may find it difficult to find a job?

- A The incentive to earn an income is lower for that age group.
- B Their wages are lower than those of adults.
- C ✓ They lack both work experience and the necessary skills.
- D They prefer leisure activities to long working hours.

] Earning is lower but they will find job

lack of skills and experience will make it difficult to find jobs

Still they will find job
→ This means they will work less

- 23 Venezuela, a leading world oil producer, has experienced hyperinflation of over 400% per annum in recent years.

How does hyperinflation affect an economy?

	prices	effect
A	fluctuate up and down <u>No</u>	consumers are uncertain about future price levels <u>certain</u>
B	fluctuate up and down <u>No</u>	consumers can anticipate future price levels <u>can't</u>
C	rise very rapidly <u>✓</u>	value of fixed assets remains stable <u>unstable</u>
D	rise very rapidly <u>✓</u>	money has limited worth as a medium of exchange

- 24 What is most likely to increase as a country becomes more developed?

- A average household income GDP per head ↑
 B average size of family Decrease, Use of contraceptives
 C infant mortality rate Decrease, less children will die
 D the proportion of income spent on food Decrease, more on leisure and entertainment

- 25 In Botswana, better healthcare has meant that birth rates have been falling faster than death rates. Also the number of children born, on average, to each woman has declined from 6.4 to 3.2.

What may be concluded from this information?

- A Government spending on education will need to increase. Don't have to
 B Medical improvements have resulted in falling infant mortality rates. less deaths of infants
 C There will be a decline in income for each person working. no info about income
 D There will, in the long run, be an increase in the working population. Data in %, no population data

- 26 The table shows the percentage share of GDP held by the richest 20% and poorest 20% of the population in each country.

Which country had the greatest extremes of income and poverty?

	country	richest 20%	poorest 20%
A	Ghana	41.7%	8.4%
B	Nigeria	55.7%	4.4%
C	Senegal	48.2%	6.4%
D	South Africa	64.8% <u>✓</u>	2.9% <u>✓</u>

Highest

lowest

27 What would cause a favourable change in the Kenyan trade in services (invisible) account?

- ✓ A A Kenyan company wins a contract to transport exports from Uganda. *Service*
- B A Kenyan tea company increases its exports.
- C A Kenyan trade delegation promoting coffee sales visits India.
- D A Zambian company increases its exports to Kenya. *→ no product information*

28 What is a disadvantage of trade protection of manufactured goods?

- ✓ A It can lead to retaliation from trading partners. *They can impose Tariffs, quota, etc*
- B It encourages infant industries to grow.
- C It increases demand for domestic manufactured goods.
- D It reduces outflows of currencies to pay for imports.

29 What would cause a rise in the deficit on the current account of the balance of payments?

- A a fall in foreign direct investment into the country *Nothing to do with current A/c*
- ✓ B a fall in interest earned on overseas investment by the country *Net incomes ↓ current A/c deficit ↑*
- C a fall in the value of imported manufactured goods into the country
- D a rise in the revenue earned from tourism in the country *Deficit ↓*

30 What would reduce the volume of international trade in the world economy?

- A a German bank making a loan to a Nigerian company *Qty ↑*
- B a Japanese car manufacturer establishing a factory in the Czech Republic *Qty ↑*
- ✓ C the Canadian government introducing quotas on Malaysian electronics products
- D the Swedish government granting aid to Somalia *Qty ↑*

limits Qty (↓)

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